

## The Board of Directors of the Nairobi Securities Exchange Limited (NSE) is pleased to announce the audited Group results for the year ended 31 December 2015

| CONDENSED GROUP STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER | 2015<br>Kshs '000 | 2014<br>Kshs '000 |
|-----------------------------------------------------------------------------------------------------------|-------------------|-------------------|
| Operating income                                                                                          | 616,778           | 641,736           |
| Interest income                                                                                           | 101,010           | 39,514            |
| Other income                                                                                              | 90,469            | 140,651           |
| <b>Total income</b>                                                                                       | <b>808,257</b>    | <b>821,901</b>    |
| Administrative expenses                                                                                   | (448,323)         | (389,541)         |
| Finance costs                                                                                             | -                 | (14,290)          |
| Share of profit of associate company                                                                      | 21,560            | 23,741            |
| <b>Profit before taxation</b>                                                                             | <b>381,494</b>    | <b>441,811</b>    |
| Taxation charge                                                                                           | (75,902)          | (121,770)         |
| <b>Profit for the year</b>                                                                                | <b>305,592</b>    | <b>320,041</b>    |
| Other comprehensive income                                                                                | 61                | 26                |
| <b>Total comprehensive income for the year</b>                                                            | <b>305,653</b>    | <b>320,067</b>    |
| <b>Earnings Per Share* - Basic and diluted (Kshs)</b>                                                     | <b>1.57</b>       | <b>2.13</b>       |
| *EPS based on weighted average no. of shares                                                              | 194,625,000       | 150,020,604       |

| CONDENSED GROUP STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER | 2015<br>Kshs '000 | 2014<br>Kshs '000 |
|-------------------------------------------------------------------|-------------------|-------------------|
| <b>ASSETS</b>                                                     |                   |                   |
| Non current assets                                                | 990,822           | 897,037           |
| Current assets                                                    | 927,413           | 788,067           |
| <b>Total assets</b>                                               | <b>1,918,235</b>  | <b>1,685,104</b>  |
| <b>EQUITY AND LIABILITIES</b>                                     |                   |                   |
| Share capital                                                     | 778,500           | 778,500           |
| Share premium                                                     | 277,185           | 277,185           |
| Revenue reserves                                                  | 718,753           | 487,107           |
| Revaluation and other reserves                                    | 319               | 270               |
| Non current liabilities                                           | 11,619            | 13,536            |
| Current liabilities                                               | 131,859           | 128,506           |
| <b>Total shareholders' funds and liabilities</b>                  | <b>1,918,235</b>  | <b>1,685,104</b>  |

| CONDENSED GROUP STATEMENT OF CASHFLOWS FOR THE YEAR ENDED 31 DECEMBER | 2015<br>Kshs '000 | 2014<br>Kshs '000 |
|-----------------------------------------------------------------------|-------------------|-------------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                           |                   |                   |
| Cash generated from operations                                        | 49,595            | 317,277           |
| Tax paid                                                              | (158,646)         | (160,417)         |
| Net cash (used in)/generated from operating activities                | (109,051)         | 156,860           |
| Net cash used in investing activities                                 | (13,710)          | (7,658)           |
| Net cash (used in)/generated from financing activities                | (73,859)          | 321,405           |
| <b>(Decrease)/increase in cash and cash equivalents</b>               | <b>(196,620)</b>  | <b>470,607</b>    |
| Cash and cash equivalents at the beginning of the year                | 640,655           | 170,048           |
| <b>Cash and cash equivalents at the end of the year</b>               | <b>444,035</b>    | <b>640,655</b>    |

| CONDENSED GROUP STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER | Share capital<br>Kshs '000 | Share premium<br>Kshs '000 | Revaluation and Other reserves<br>Kshs '000 | Retained earnings<br>Kshs '000 | Total<br>Kshs '000 |
|-------------------------------------------------------------------------------|----------------------------|----------------------------|---------------------------------------------|--------------------------------|--------------------|
| <b>At 1 January 2014</b>                                                      | <b>24,500</b>              | <b>-</b>                   | <b>256</b>                                  | <b>706,054</b>                 | <b>730,810</b>     |
| Bonus issue                                                                   | 490,000                    | -                          | -                                           | (490,000)                      | -                  |
| Shares issued                                                                 | 264,000                    | 363,000                    | -                                           | -                              | 627,000            |
| Share issue costs                                                             | -                          | (85,815)                   | -                                           | -                              | (85,815)           |
| Total comprehensive income for the year                                       | -                          | -                          | 26                                          | 320,041                        | 320,067            |
| Transfer of excess depreciation                                               | -                          | -                          | (17)                                        | 17                             | -                  |
| Deferred tax on transfer of excess depreciation                               | -                          | -                          | 5                                           | (5)                            | -                  |
| 2013 dividend declared in the year                                            | -                          | -                          | -                                           | (49,000)                       | (49,000)           |
| <b>At 31 December 2014</b>                                                    | <b>778,500</b>             | <b>277,185</b>             | <b>270</b>                                  | <b>487,107</b>                 | <b>1,543,062</b>   |
| Total comprehensive income for the year                                       | -                          | -                          | 61                                          | 305,592                        | 305,653            |
| Transfer of excess depreciation                                               | -                          | -                          | (17)                                        | 17                             | -                  |
| Deferred tax on transfer of excess depreciation                               | -                          | -                          | 5                                           | (5)                            | -                  |
| 2014 dividend declared in the year                                            | -                          | -                          | -                                           | (73,958)                       | (73,958)           |
| <b>At 31 December 2015</b>                                                    | <b>778,500</b>             | <b>277,185</b>             | <b>319</b>                                  | <b>718,753</b>                 | <b>1,774,757</b>   |

### EXPLANATORY NOTES

The above condensed financial statements are extracts of the audited financial results of the Group which comprises the Nairobi Securities Exchange (NSE) Limited, the subsidiary NSE Clear Limited, the NSE Derivatives Settlement Guarantee Fund and NSE Derivatives Investor Protection Fund and the interest of the NSE in an associate.

The structured entities were established on 19 July 2015. The accounting policies used in preparing these audited financial statements are consistent and should be read in conjunction with those used for the annual financial statements for the year ended 31 December 2014.

### INDEPENDENT AUDITORS' REPORT ON THE SUMMARY FINANCIAL STATEMENTS TO THE MEMBERS OF NAIROBI SECURITIES EXCHANGE LIMITED

The accompanying summary Group financial statements which comprise the condensed group statement of financial position at 31 December 2015, the condensed group statement of comprehensive income, the condensed group statement of changes in equity and the condensed group statement of cash flows for the year then ended, are derived from the audited financial statements of the Nairobi Securities Exchange Limited for the year ended 31 December 2015.

We expressed an unqualified audit opinion in our report dated 24 March 2016. Those financial statements and the summary financial statements do not reflect the events that occurred subsequent to the date of our report on those Group financial statements.

The condensed financial statements do not contain all the disclosures required by the International Financial Reporting Standards and in the manner required by the Kenyan Companies Act applied in preparation of the audited financial statements of Nairobi Securities Exchange Limited. Reading the summary financial statements therefore is not a substitute of reading the financial statements of Nairobi Securities Exchange Limited.

### DIRECTORS' RESPONSIBILITY FOR THE SUMMARY FINANCIAL STATEMENTS

The Directors are responsible for the preparation and fair presentation of the condensed Group financial statements.

### AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the condensed financial statements based on our procedures, which were conducted in accordance with the International Standards on Auditing (ISA) 810 "Engagements to Report on Summary Financial Statements".

### OPINION

In our opinion, the condensed Group financial statements derived from the Group financial statements of Nairobi Securities Exchange Limited for the year ended 31 December 2015 are consistent in all material respects, with those Group financial statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Anne Muraya - P/No. 1697.

### DELOITTE & TOUCHE

Certified Public Accountants

Nairobi

Date: 24 March 2016

### FINANCIAL HIGHLIGHTS

- Total income decreased by 1.7% from Kshs. 821.9 million in 2014 to Kshs. 808.3 million in 2015. This was driven mainly by the 3% decrease in equity turnover from Kshs. 431 billion in 2014 to Kshs. 419 billion in 2015. In the same period, secondary trading activity in the fixed income market declined by 39.7% from Kshs. 1,012 billion in 2014 to Kshs. 610 billion in 2015. The decrease was as a result of the introduction of Capital Gains Tax that had a negative effect on trading activity in the bond and equity markets. Similarly the rise in interest rates and volatility of the currency impeded performance of the market. Other income also declined by 36.1% from Kshs. 141 million in 2014 to Kshs. 90 million in 2015. Interest income improved by 153% from Kshs. 39.5 million in 2014 to Kshs. 101 million in 2015 owing to a focused investment strategy by the group.
- Administrative expenses increased by 15.1% from Kshs. 389.5 million in 2014 to Kshs. 448.3 million in 2015 owing to the organization restructuring and development of new products.

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### FINANCIAL HIGHLIGHTS *(Continued)*

- Profit before tax decreased by 13.6% from Kshs. 441.8 million in 2014 to Kshs. 381.5 million in 2015 mainly due to the decline in turnover in the equity and bonds markets.
- Profit after tax reduced nominally by 4.5% from Kshs. 320 million in 2014 to Kshs. 305.6 million in 2015 as a result of the reduced income tax rate.
- Total assets increased by 13.8% from Kshs. 1,685 million in 2014 to Kshs. 1,918 million in 2015 as a result of increased profitability. During the year, the NSE invested seed capital of Kshs. 20 million, Kshs. 100 million and Kshs. 10 million towards the NSE Clear Limited, the NSE Derivatives Settlement Guarantee Fund and the NSE Derivatives Investor Protection Fund respectively.

### OUTLOOK FOR 2016

The Exchange is on course to launch the derivatives market this year. This market will provide Kenyans with financial instruments that will enable them hedge their currency and investment risks. In addition, it will create a new investment opportunity for the local and international investors. The Exchange will also be launching Exchange Traded Funds (ETFs) which will target investors seeking investments in low volatile and cost effective opportunities.

The Exchange will also be seeking to increase the number of listings on all our market segments with focus on the Growth Enterprise Market Segment (GEMS) and the Real Estate Investment Trusts (REITS). During the year, the Exchange will also be upgrading the Automated Trading System (ATS) which will allow it to offer more availability to its trading members and better support its new product and service offerings.

The Board of Directors will continue to promote sustainable business practices in the capital market.

### DIVIDENDS

The Directors recommend the payment of a first and final dividend for the financial year 2015 of Kshs. 0.49 per ordinary share. This is an increase of 29% compared to the dividend paid for 2014. The dividend is subject to Shareholders' approval at the Annual General Meeting.

### CLOSURE OF SHARE REGISTER

Subject to approval by the Shareholders at the Annual General Meeting, the dividend for 2015 will be paid by 17 July 2016 to members on the register at the close of business on 2 June 2016. Accordingly, the register of members will remain closed for one day on 3 June 2016 for preparation of dividend warrants.

### INCREASE IN AUTHORISED SHARE CAPITAL

The Director's recommend, subject to regulatory approvals and that of the Shareholders, to increase the authorized share capital from Kshs. 850 million divided into 212.5 million ordinary shares of Kshs. 4 each to Kshs. 1.5 billion divided into 375 million ordinary shares of Kshs. 4 each by the creation of 162.5 million ordinary shares of Kshs. 4 each, such shares to rank pari passu in all respects with the existing ordinary shares.

### ISSUE OF BONUS SHARES

The Directors recommend, subject to regulatory approvals and that of the Shareholders, to make a bonus issue of 1 new ordinary share for every 3 fully paid ordinary shares then held at a date to be advised by the Board. Such new shares will rank pari passu, in all respects with the existing shares.

### ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of the Nairobi Securities Exchange Limited will be held on 2 June 2016 at the Kenyatta International Conference Centre (KICC).

### MESSAGE FROM THE DIRECTORS

These are extracts from the financial statements of the Group which have been audited by Deloitte and Touche and have received an unqualified opinion. A full set of these financial statements will be availed at our registered office at The Exchange, 55 Westlands Road and online at [www.nse.co.ke](http://www.nse.co.ke) for inspection after approval by shareholders at the Annual General Meeting.

The financial statements were approved and authorised for issue by the Board of Directors on 24 March 2016 and were signed on its behalf by:

**Mr. Edward Njoroge**  
Chairman

**Ms. Winnie Nyamute**  
Director

**Mr. Geoffrey O. Odundo**  
Chief Executive